

The Outlook for the Inflation-Adjusted Dow

For thirteen years, the forecast for the inflation-adjusted Dow, discussed in Chapter 3, has been relentlessly consistent. The success of the upward projection for wave B suggests that we should also pay attention to the projection for wave C made years ago. The January 1982 report, which laid out the whole scenario up to today, even addressed the question of targeting the low for the upcoming decline:

After an intervening speculative boom, how low might we expect stock prices ultimately to fall? One of the rules of the Wave Principle is that corrections, particularly when they are themselves fourth waves, tend to terminate *within the span of the previous fourth wave of lesser degree, generally near the low end of the pattern*. Thus, normal wave behavior would indicate an ultimate bottom in values equal to those at the 1932, 1942 or [1948-]1949 lows.

Because wave A already attained the general target area by falling to 7.68 in 1982 (see Figure 5-5), the entire Grand Supercycle corrective pattern has several options for the path its remaining waves may take. By every scenario, however, the inflation-adjusted Dow must return to the span of wave (IV). Because the 1982 low is not quite as low as the ideal target levels listed above, the bear market could begin with a *flat*, as postulated in Chapter 3. Wave C would fall moderately below the low of wave A, bringing it closer to one of the lows of the wave (IV) triangle, which are 3.85, 5.45 and 6.03. The entire correction may also be developing as an expanding or contracting triangle, of which the 1982 low was wave (A). In this case, waves (C), (D) and (E) would develop along the lines shown in the bottom two diagrams in Figure 5-5. These depictions at least provide some perspective on the downside potential for inflation-adjusted stock prices from today's lofty level of 34.68. This potential is further explored in Chapter 18.

Reconciling the Actual and Inflation-Adjusted Dow Patterns

The first major low in the bear market in the actual Dow will ideally be of Supercycle degree, completing wave (A), as shown in Figure 5-4. As labeled in Figure 5-5, the next low in the inflation-adjusted Dow will also be of Supercycle degree, completing wave (W) of a double three or wave (C) of a triangle. Thus, the two mea-